



soon challenged UTI's supremacy. Despite operating in a competitive environment it continued to follow its earlier policies. In 1995 the stock markets boomed. That was the time to make it open-ended and let investors enter and exit at the current NAV. Times were changing and UTI's position was threatened. The writing was on the wall but no action was taken. The Deepak Parekh committee was appointed to advise restructuring of UTI but nothing was done. Until one day the inevitable happened. This not only shattered the investors of UTI but also shook the stock markets and it took over a couple of years for the markets to recover.

3. Another example of decision paralysis is when investors buy top performing funds and do not reshuffle their portfolios. They are happy since their funds are doing well. But when there is a choice of funds it is important to choose the right one, which may not necessarily be the one that has performed well. On the contrary the chances of it sustaining its performance are much lower. By definition a mutual fund captures the mutuality of the market, so in bull phases you should reshuffle. Don't let decision paralysis hamper your investment decisions.
4. Greed and fear are a part of the market flow. Excesses characterise the bull phase where every stock is sellable. During such a phase all types of companies enter the capital market to capitalise on the bull run. Money becomes easily available. Investors get trapped by such stocks when the bull run ends. They swear they will get out of such stocks as soon as they can. For years they wait for the opportunity to exit, but when the next rally comes and such junk stocks start rising they do not sell. They prefer to maintain the status quo as they get greedy, hoping to make more money on such junk stocks.

I have come across various examples of investors who are unable to decide and prefer to maintain the status quo. Why do people behave this way? Is the prospect of change so frightening? Yes it is, and the concept of Endowment Effect explains it all.